

Module 2: National Differences

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Agenda

- I. Introduction to National difference
- II. Political systems of difference countries
 - A. Collective and Individual
 - B. Democracy and Totalitarianism
- III. Economic systems
- IV. Regulation systems
- V. Political economy

I. Introduction to National difference

- ❑ International business is more complex than domestic business due to differences in political, economic, and legal systems across countries. These variations, along with cultural norms, education levels, and workforce skills, impact business strategies, costs, risks, and operational management.
- ❑ This lecture will focus on understanding these country-specific differences and how they evolve, affecting international business practices. The concept of a country's political economy will be emphasizing the interconnection between political, economic, and legal systems and their influence on economic well-being.
- ❑ We also explore how these systems impact a nation's economic growth and how cultural differences shape business operations. A key example is Ireland's economic success, demonstrating how adopting market-based policies can drive significant economic growth.

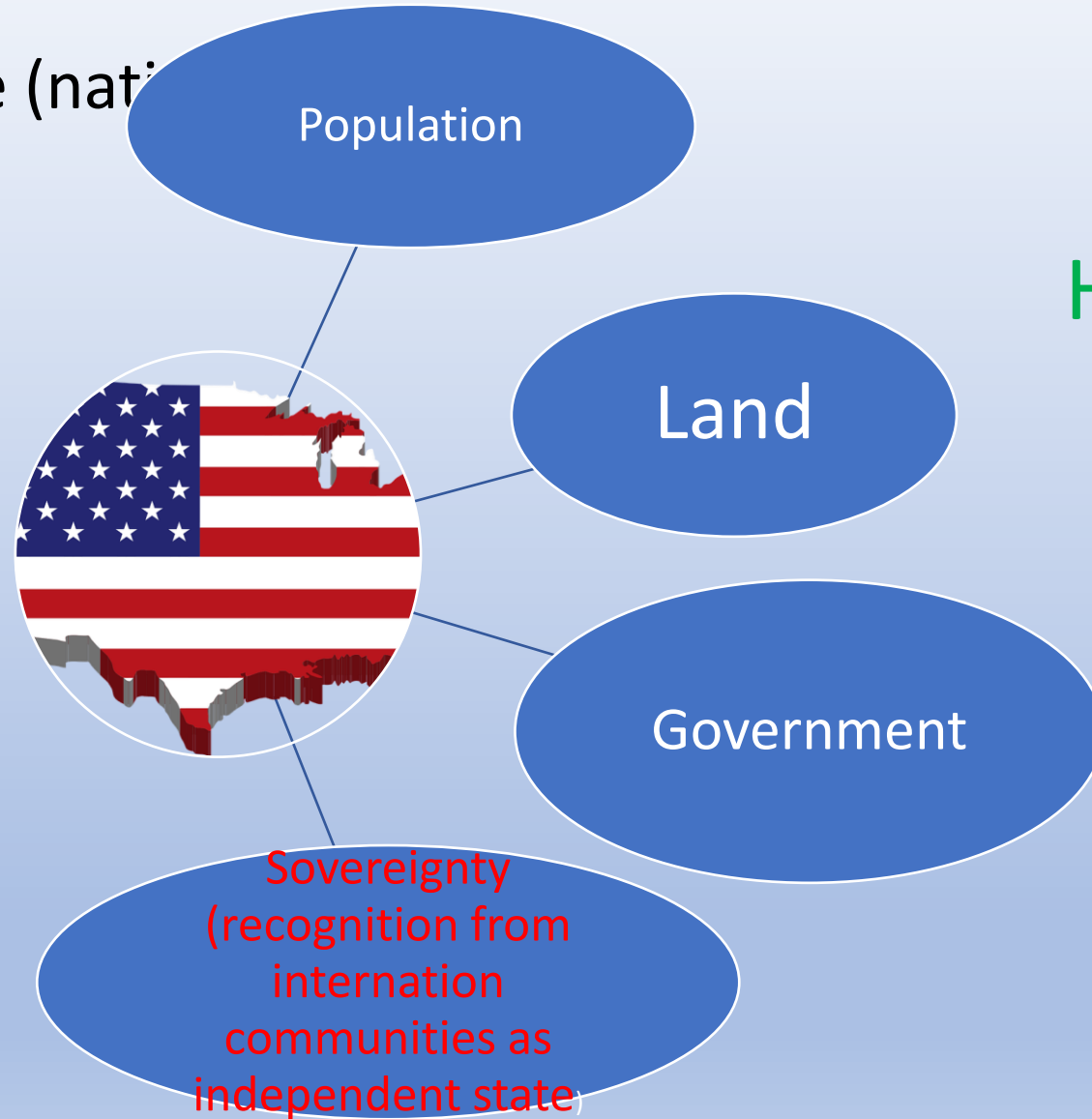
Why does international business have correlation with political, Economy and Regulation system of difference countries?



II. Political systems of difference countries

- What is state (country or nation) ?
- What is politic ?
- What is political system ?

What is state (nation)



How about Taiwan?

What is politic ?

- ❑ Political means relating to the way power is achieved and used in a country or society.
- ❑ the activities of the government, members of law-making organizations, or people who try to influence the way a country is governed. Example of Democracy system has three main power separate , 1.government, 2.legislator, 3.court .
- ❑ The art of leading society to be prosperity.

What is political systems?

Political systems are defined as many types as below:

- 1. Democracy(created by people, lead by people and serve for people)**
- 2. Authoritarianism(communist systems)**
- 3. Totalitarianism (communist system)**
- 4. Theocracy (religious leading country as Muslim country)**
- 5. Oligarchy (wealth people lead country)**
- 6. Anarchy**

However, in term of international business we can conclude as two group:

- ☐ **Democracy (individual)**
- ☐ **Totalitarianism (collective)**

Political Systems

A country's political system influences its economic and legal systems and it is essential to understand different political structures. Political systems are evaluated based on two key dimensions:

- **Collectivism** vs. **Individualism** – Some systems prioritize the collective good, while others emphasize individual freedoms.
- **Democracy** vs. **Totalitarianism** – Some nations allow **democratic** participation, while others maintain strict governmental control.

These dimensions are often interconnected—collectivist systems tend to be more totalitarian, while individualistic systems align with democracy. However, there are exceptions, as some democracies blend collectivist and individualist principles, and some totalitarian states are not fully collectivist.

A. Collectivism vs. Individualism (ideology)

Collectivism is a political system that prioritizes the collective good (the need of whole society) over individual rights. It holds that societal needs take precedence, and individual freedoms may be restricted if they conflict with the common good. The roots of collectivism trace back to Plato (427-347 B.C), who argued in (raise statement) The Republic that individual rights should be sacrificed for the majority's benefit and that property should be owned by community. However, Plato also believed in a hierarchical society led by philosophers and soldiers. In modern times, socialists have embraced collectivist principles, advocating for systems that emphasize shared ownership and governance for the benefit of society as a whole.

Collectivism (Socialism)

Modern socialism is rooted in the ideas of Karl Marx (1818-1883), who criticized **capitalism** for benefiting a few at the expense of the many. Marx argued that workers were underpaid while capitalists profited from their labor and proposed state ownership of production and distribution to ensure fair compensation. In the early 20th century, socialism split into two major branches:

1. Communists advocated for socialism through violent revolution and dictatorship.
2. Social Democrats sought socialism through democratic means, rejecting revolution.

- ❑ Communism peaked in the 1970s, with the Soviet Union, China, and several other countries under communist rule. However, by the 1990s, communism declined, with the Soviet Union collapsing and Eastern Europe transitioning to democracy. China, while politically communist, moved toward a market economy. Today, strict communism persists only in a few nations like North Korea.
- ❑ Social democracy, influential in Western nations like Germany, Sweden, and the UK, led to state ownership of industries after World War II. However, these enterprises often became inefficient, leading to privatization in the late 20th century as governments shifted toward free-market policies. Even when social democratic parties regained power, they largely embraced private ownership.

Individualism

- ❑ Individualism is a political and economic philosophy that emphasizes personal freedom and self-interest over collective goals. Unlike collectivism, which prioritizes the common good, individualism asserts that individuals should have the freedom to pursue their own economic and political interests.
- ❑ The concept dates back to Aristotle (384-322 B.C), who argued that private ownership fosters productivity, unlike communal property, which is often neglected. Individualism re-emerged in the 16th century in Protestant trading nations like England and the Netherlands and was later championed by thinkers such as David Hume, Adam Smith, and John Stuart Mill. It played a crucial role in shaping the American Declaration of Independence and was further advanced in the 20th century by economists like Milton Friedman and Friedrich von Hayek.

Individualism is based on two key principles:

- 1. Freedom and self-expression are fundamental.
- 2. The economy functions best when individuals pursue their own self-interest, as famously described by Adam Smith's "invisible hand" theory in *The Wealth of Nations*.

B. Democracy vs. Totalitarianism

- ❑ Democracy and totalitarianism represent opposite ends of a political spectrum. **Democracy is a system where governance hold by the people, either directly or through elected representatives.** In contrast, **totalitarianism is a system where a single person or political party holds absolute control over all aspects of life and suppressing their opposition.**
- ❑ This dimension is closely linked to individualism and collectivism. Democracy aligns with individualism, promoting personal freedoms, while totalitarianism is often associated with collectivism, especially in communist regimes. However, there are gray areas where these systems overlap. Some democratic states emphasize collective values, and some totalitarian states, like **China and Vietnam**, have introduced economic freedoms while maintaining strict political control.

Democracy

Pure democracy, as practiced in ancient Greek city-states, required direct citizen participation in decision-making. However, in modern societies with large populations, this is impractical. Instead, most democratic nations, like the United States, follow a representative democracy, where citizens elect officials to govern on their behalf. These representatives remain accountable to the public through regular elections.

An ideal representative democracy includes key safeguards, often protected by constitutional law, such as:

1. Freedom of expression, opinion, and organization
2. An independent and free media
3. Regular elections with universal adult suffrage
4. Limited terms for elected officials
5. An independent judiciary
6. A nonpolitical state bureaucracy
7. A nonpolitical police force and military
8. Relatively free access to state information

These elements ensure that elected leaders can be held accountable and that democracy functions effectively.

Totalitarianism

Totalitarianism is a political system where the government exercises absolute control, denying citizens fundamental rights like free expression, free media, and fair elections. Political repression is common, and dissenters often face severe consequences. There are four major forms of totalitarianism:

- **1. Communist Totalitarianism** : Previously widespread, this form is in decline, with many former communist states transitioning away from strict control. However, nations like China, Vietnam, Laos, North Korea, and Cuba still maintain totalitarian rule, even as some adopt market-based economic reforms. In other places, like Venezuela and Russia, there are signs of a resurgence in authoritarianism.

- 2. **Theocratic Totalitarianism** : Political power is controlled by religious authorities who govern based on religious principles. This is most common in Islamic states such as Iran and Saudi Arabia, where laws restrict political and religious freedoms.
- 3. **Tribal Totalitarianism** : Found mainly in African nations like Zimbabwe, Uganda, Tanzania, and Kenya, this occurs when a single tribe dominates political power, often at the expense of other groups. This is partly a legacy of colonial-era boundaries that ignored tribal divisions.
- 4. **Right-Wing Totalitarianism** : While allowing some economic freedom, these regimes heavily restrict political freedoms, often opposing communism and socialism. Military-backed right-wing dictatorships were common in Latin America (e.g., Brazil from 1964–1985) and parts of Asia (e.g., South Korea, Taiwan, Singapore, Indonesia, and the Philippines). Since the 1980s, however, many of these countries have transitioned to democracy.

Pseudo-Democracies

- ❑ Many nations fall between pure democracy and totalitarianism, often functioning as imperfect or pseudo-democracies. In these systems, authoritarian elements manipulate state institutions to restrict political and civil liberties, despite maintaining the appearance of democratic processes.
- ❑ For example, in Russia under Vladimir Putin, elections still take place, opposition groups exist, and independent media operate to some extent. However, Putin has gradually curtailed freedoms, limiting opposition voices and consolidating power. While his control is not absolute, challenging his rule has become increasingly difficult as his regime extends its political, legal, and economic dominance.

Thank you

For your attendance